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T ITS RECENT ANNUAL general meeting, Swiss F&B giant Nestlé pointed out that AI has helped its India subsidiary customise consumer choices and plan new launches better. How? “We are using AI in India to assess multiple types of data

that give insights down to a postal code and demographic level. This level of customisation has benefitted us as well as our customers and consumers,” CEO Mark Schneider said.

Like Nestlé, other FMCG companies are also firmly on the AI bandwagon. Technology geeks at FMCG majors—from Reliance to Dabur to Hindustan Unilever (HUL) to Marico—are currently busy fine-tuning their AI-based platforms not only to improve their operational efficiencies, but also to lure potential consumers with targeted goods and solutions.

HUL is harnessing new AI-powered innovation tools to spot trends early and test new product concepts. According to Sanjiv Mehta, CEO & MD of HUL, it is “investing in technology driven commerce ahead of the curve with capabilities such as virtual try-ons” and is currently piloting an AI skin analyser on the Lakmé D2C platform. Backed by AI, HUL’s new Agile Innovation Hub is accelerating its speed of innovation by using a digital innovation workflow.

Ayurveda major Dabur India is using AI-driven technologies, coupled with machine learning, robots and automation “to drive greater efficiency across the organisation, covering supply chain, manufacturing, sales & marketing, while delivering cost savings”, CEO Mohit Malhotra says. Such initiatives are the driving factor for increasing the efficiency of targeted outlet visits for the field force. Dabur has activated Amazon’s proprietary Demand Side Platform to sharp-target category shoppers’ audience cohorts via programmatic ads.

Vrijesh Nagathan, Chief Information & Digital Technology Officer at Marico says the company is “enforcing cutting-edge analytics and AI capabilities to enable data-driven prioritisation, resource allocation and decision support”. These have helped in institutionalising its new sales framework that further enhanced Marico’s on-ground agility, and strengthened its micro market focus and execution.

Pallab Roy, Partner at KPMG in India, says data is the new currency and AI-based models in back-office operations for effective sourcing, improving compliance and operations and in MIS are increasingly being adopted to stay ahead of the curve. “AI can augment intelligence to help managers analyse large quantum of data, choose action options and learn from outcomes at a rapid pace,” he says.

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FMCG FIRMS ARE BUSY FINE-TUNING THEIR **AI-BASED PLATFORMS** TO NOT ONLY IMPROVE OPERATIONAL EFFICIENCIES, BUT ALSO LURE POTENTIAL CUSTOMERS

With AI deployed at scale, Subramaniam V., Director at Reliance Retail, expects India’s retail market to grow to \$2 trillion (₹160 lakh crore) by 2032, from \$844 billion (₹67.5 lakh crore) in 2022.

Rajat Wahi, Partner at Deloitte India, says while an impact assessment of AI on India’s retail and consumer goods sector is yet to be conducted, it is expected that AI could end up impacting several job roles in the retail sector. “For instance, basic research-related roles in areas like industry trends, consumer behaviour, etc., could be replaced by Generative AI, while new highly skilled jobs would be created to harness this AI. It is unlikely that AI-driven tech would impact jobs at physical retail floors. These are still early days,” he says. **BT**

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